

Investment Fees Calculator

Canada · CAD (CA\$)

Portfolio Fee Impact Analysis

fincalcsmart.com/investment-fees-calculator

EXECUTIVE SUMMARY

Watch

CA\$243,610

Portfolio After Fees
20 years · 1.5% fee

CA\$48,855

Total Lost to Fees
17% of gross value

CA\$285,355

Value at 0.2% Fee
comparison scenario

53/100

Fee Drag Score
Fair

CONTRIBUTIONS VS. NET RETURNS VS. LOST TO FEES (OF GROSS PORTFOLIO)



Total projected: CA\$292,465

Contributions: CA\$130,000 (44.4%) Net Returns: CA\$113,610 (38.8%) Lost to Fees: CA\$48,855 (16.7%)

AI-ASSISTED FEE IMPACT SUMMARY

This scenario applies a 1.5% annual fee to a portfolio with an assumed gross return of 7% over 20 years. The estimated portfolio value after fees is CA\$243,610, compared to CA\$292,465 before any fees. Total fees consumed over this period amount to CA\$48,855 — 17% of the gross portfolio value.

Switching from the current 1.5% fee to the comparison rate of 0.2% would add an estimated CA\$41,744 to the portfolio over 20 years, equivalent to CA\$173.93/month in additional contribution value. Growth efficiency at the current fee is 83.3%, meaning 17% of potential gross returns are lost to fees.

To offset the full fee drag of the 1.5% annual fee over 20 years, an estimated additional CA\$113.92/month in contributions would be needed to match the gross (no-fee) portfolio value. Fee drag compounds with time — at 10 years, fees consume CA\$8,935; at 20 years, CA\$48,855; at 30 years, CA\$165,547.

INPUTS & ASSUMPTIONS

Initial Investment	CA\$10,000
Monthly Contribution	CA\$500.00/month
Expected Annual Return	7% (gross, before fees)
Annual Fee (Current)	1.5%
Annual Fee (Comparison)	0.2%
Investment Horizon	20 years

SCENARIO BREAKDOWN

Total Contributions	CA\$130,000
Gross Portfolio Value	CA\$292,465
Portfolio After Fees	CA\$243,610
Net Returns (after fees)	CA\$113,610
Total Lost to Fees	CA\$48,855
Value at 0.2% Fee	CA\$285,355
Potential Fee Savings	CA\$41,744
Monthly Equiv. Saving	CA\$173.93/month
Growth Efficiency	83.3%
Fee Drag Score	53/100 (Fair)

KEY DRIVERS / POSSIBLE ADJUSTMENTS

- Fee Drag Score: 53/100 (Fair). A 1.5% annual fee is high by market standards. Over 20 years, fee drag reduces the portfolio by CA\$48,855 relative to a zero-fee scenario. The Compounding Effect of fees accelerates with time — each additional year amplifies the total cost.
- Time horizon impact at the current 1.5% fee: fees consume CA\$8,935 by year 10, CA\$48,855 by year 20, CA\$165,547 by year 30. Fee drag compounds — the longer the horizon, the larger the share of returns absorbed by fees.
- Comparison opportunity: switching to the 0.2% comparison fee would add an estimated CA\$41,744 to the portfolio after 20 years. Growth efficiency would improve from 83.3% to 97.6%.

METHODOLOGY

What this calculator models:

- Calculates gross future value using the standard future-value annuity formula with the full annual return rate applied to the initial investment and monthly contributions.
- Derives the net (after-fee) future value by subtracting the annual fee from the gross return rate, then applying the same annuity formula. The difference between gross and net future value is the total fee drag.
- Computes the Fee Drag Score from the percentage of gross future value consumed by fees — a score of 100 means zero fee impact; lower scores reflect higher fee drag relative to gross growth.
- Calculates time-horizon milestones at 10, 20, and 30 years to illustrate how fee drag compounds non-linearly — the share of returns lost to fees increases with each additional year.

What this calculator does not model:

- Taxes on investment gains or distributions.
- Inflation — all projected values are nominal and not adjusted for purchasing power changes.
- Variable fees, performance-based fees, redemption charges, or other transaction costs beyond the stated annual percentage.

EDUCATIONAL DISCLAIMER

This report is for illustrative and educational purposes only. Projected future values are estimates based on a fixed gross annual return rate and a constant annual fee applied over the stated investment horizon. Actual investment returns and fees vary — past performance does not predict future results. This model does not account for taxes, inflation, market volatility, changes in contribution amounts, or fund-specific fee structures. The Fee Drag Score reflects the share of gross future value consumed by fees under the stated assumptions and does not constitute a guarantee or prediction of investment performance. Results do not constitute financial, investment, tax, or legal advice. Consult a qualified financial advisor before making any investment decisions.